bonds as PLDBs could not collect any worthwhile equity from members. As the demand for such loans was far lower and default much higher, these banks effectively folded quickly.

There is also dual control of the state governments and RBI over cooperative banks. This has been a recipe for disaster. The Government of India recently passed a law in the Parliament that confers powers on RBI to initiate a scheme for reconstruction and amalgamation of these cooperative banks without placing them under moratorium. This has been done to empower RBI to deal with situations like the one regarding the Punjab and Maharashtra Cooperative Bank. The Amendment Law, however, does not change the governance structure and the division of powers between the state governments and RBI. It is unlikely to bring any fundamental change to the moribund status of cooperative banking in the country.

The Government of India made PSBs set up several regional development banks in states to accelerate provision of credit for rural development and financing individual beneficiaries of development schemes. These banks had the participation of state governments though the sponsor invariably was a PSB. They were intended to be cost-effective with staff being paid lower than those of PSBs and lower cost of operations as they were localized. None of these intentions held up and a process is in motion for the past few years to consolidate and merge these regional rural development banks with their sponsors. There are still over forty of them in the country.

Banking on a cooperative basis has proved unworkable. However, if certain groups of cohesive shareholders—such as farmers, labour, teachers—intend to set up a bank on the cooperative governance basis, it should be fine. However, the government must exit the governance structure and need not support such banks with grants or equity. Let these banks be set up, licenced and regulated like other banks.